

Be Prepared for Other Expenses

Mortgage payments aren't the only expense to consider when evaluating whether you can afford to buy a house and how much you can afford to spend. There are also property taxes, homeowner's insurance, repairs and maintenance, utilities, sewer and water bills, major appliances, landscaping and yard maintenance costs, and more. Utilities can be very expensive if you live in a cold region of the country such as the Northeast, where bone-chilling winters drive up heating costs, or in the South, where hot, humid summers run up air-conditioning bills.

If you've been renting and are considering buying a house, try to think of all the things you'll need to buy that you didn't need when you had a landlord. You may need a lawnmower, weed whacker, chipper/shredder, leaf blower, rototiller, or other lawn and garden equipment; a washer and dryer, a new stove or refrigerator, or other household appliances; a snow blower or snow plow. Then there are the items that aren't absolutely necessary but that you'll want to have as soon as possible, such as window coverings (blinds, shades, or curtains), and new or additional furniture. If you're buying a fixer-upper, you'll need money for materials even if you intend to do most of the work yourself.



Buy a less expensive house than you can afford. Then you'll have money for other things and won't be as likely to get in over your head with credit card and consumer debt. You'll even be able to make extra principal payments on your mortgage or larger retirement account contributions.

Most people use all the cash they can scrape together for the down payment and closing costs, and then end up having to use credit to buy the things they need or want for the new house. If you plan ahead and know